



Risk Management & Insurance

Key theory concepts

What are Financial risks?



- Risks can be of two types
 1. **Low-level daily risks:** E.g., Catching a cold
 2. **Substantive future risks:** E.g., House getting robbed, being in a car accident
- Risks are shown as a **probability** between **0% (never occur)** and **100% (guaranteed)**

**Risks that are high probability,
e.g.**

- Age-related health issues
- Demise at some point in time

**Risks that are low probability,
e.g.**

- House damaged due to freak weather

Types of financial risk

Speculative

- Risks that can generate **either profit or loss** (or no change)
- *Insurance **will not** cover such risks*
- Examples include
 - Gambling
 - Starting a business
 - Investing in stocks

Pure

- Risks that **only have potential for loss**
 - No possibility of profit or gain
- *Insurance coverage **is often available** for pure risks*
- Examples include
 - Loss of income
 - Death or illness
 - Property damage etc

Risk → Perils ← Hazards

➤ Insurance policies **specify a list of Perils** that they will cover

➤ **Perils are the cause of losses**, e.g.

- Hail and fire cause property damage
- Cancer can lead to disability or death.

➤ **Hazards increase chance of Peril**

- **Physical hazards** like road conditions, driving under influence etc
- **Moral hazards** like faking death to claim insurance
- **Morale hazards** (forgetfulness or carelessness)

➤ Examples

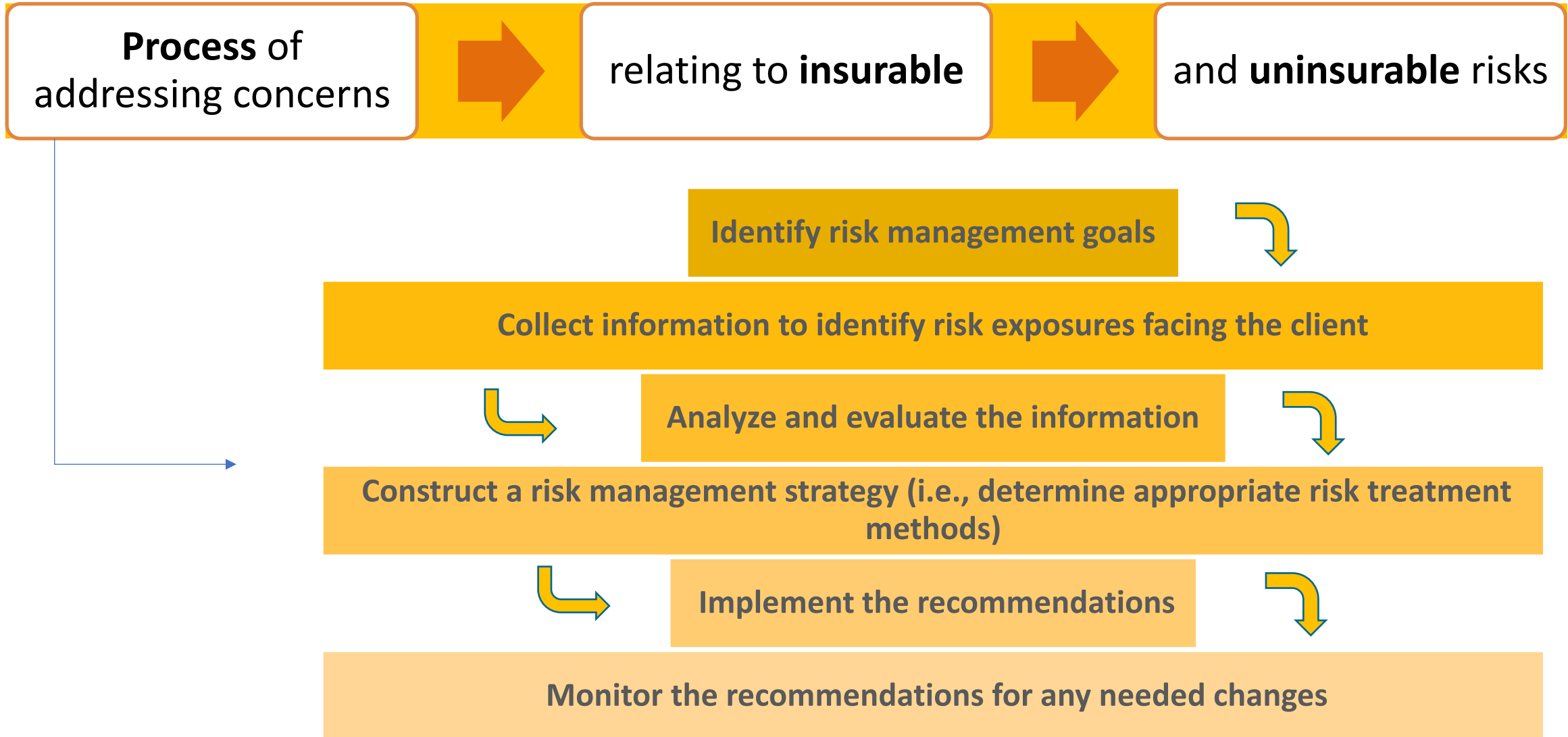
• **Property damage (=Substantive future risk)**

- Perils (=Specified in Policy)
 - Fire, hail, lightening
 - Theft, robbery
- Hazards: (= increased chance of peril)
 - Lack of fire safety in building
 - High crime rate in locality



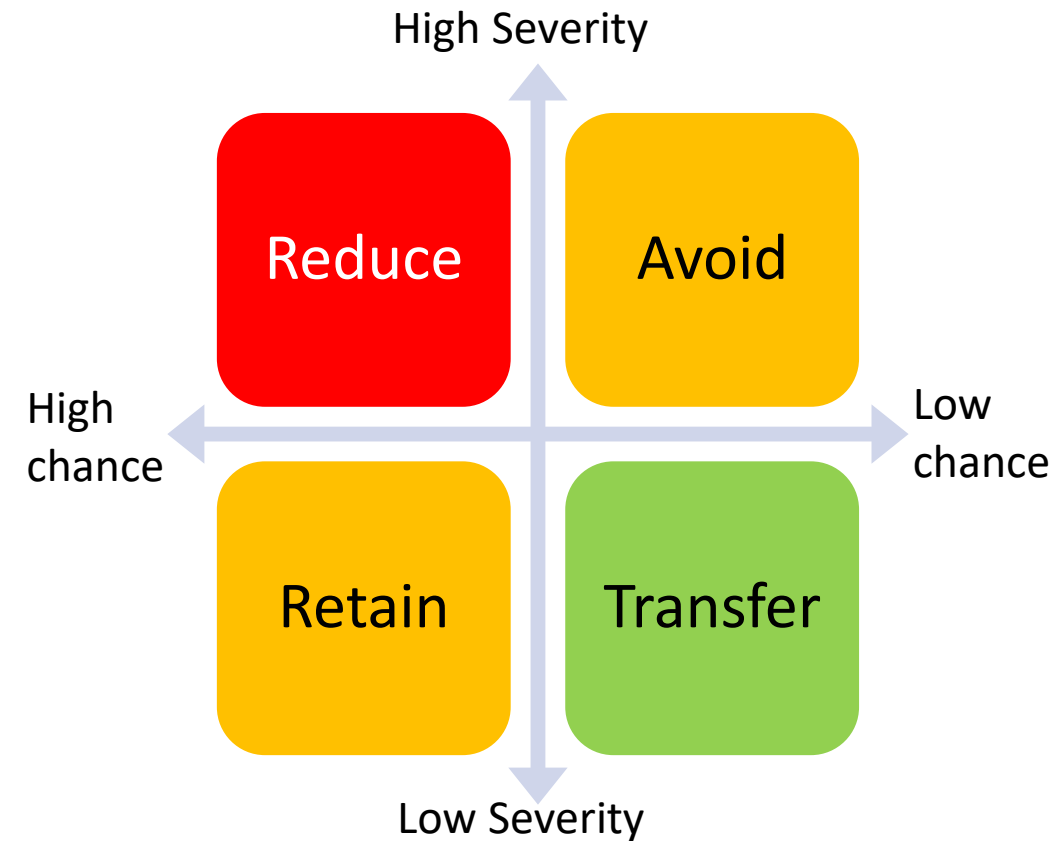
Risk Management Process

What is risk management / Process of risk management



Risk management techniques

- For each aspect of life, you can develop a risk strategy
- For e.g., for a person who actively treks in the mountains
- **Reduce**: Wear proper safety gear
- **Avoid**: Stop trekking. Hence no risk
- **Retain**: Take the risk that an accident may happen while trekking
- **Transfer**: Buy insurance for possible accidents while trekking



3 rules when in doubt about recommending Insurance

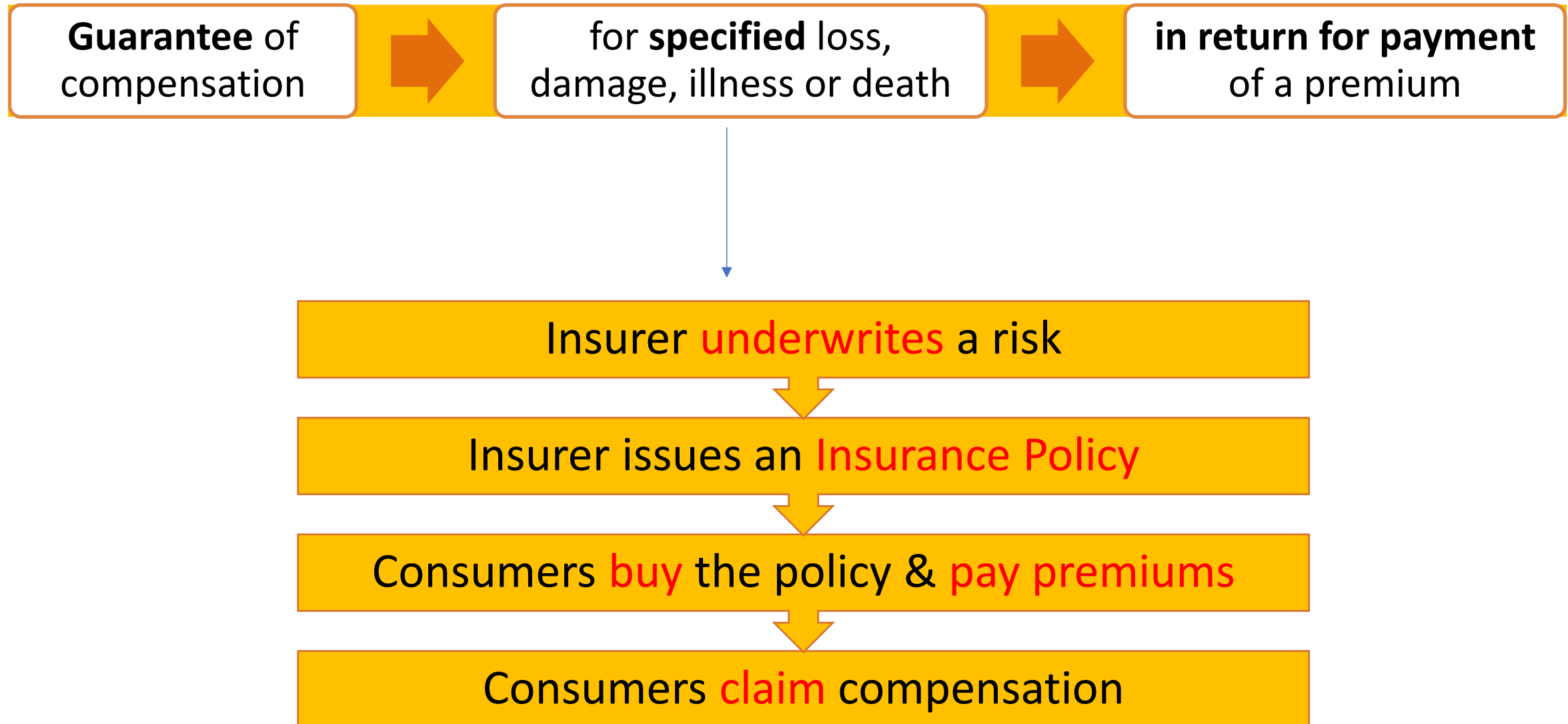
- In cases when a risk management decision is not obvious, check if any of the following apply to the situation and act accordingly





Basics of Insurance

What is insurance and how does it work



Underwriting = Acceptance of Risk by an insurer

- To underwrite a risk, the underwriter will consider 4 factors
 - 1st and 2nd factors relate to **risk probability**, the 3rd and 4th relate to **commercial viability**

Law of large number	Loss by Chance	Measurable & defined Loss	Loss to Insurer is not catastrophic
• Foundational principle • Is there enough data to predict the probability of loss?	• Loss must be a result of an accident or random event	• Loss to insurer must be measurable by insurer in monetary terms	• Loss amount should not result in Insurer going bankrupt
Risk of insuring 20,000 homes against fire can be predicted and premiums calculated	Likelihood of a house catching fire is random (fortuitous)	Value of each house to be insured can be measured and defined by Insurer	Catastrophic loss (i.e. all 20,000 houses catching fire) would ruin insurer

9 core Principles of an Insurance Policy

Insurance
principles

- **Insurable interest**
- **Indemnity**
- **Utmost good faith**
- **Subrogation**

Legal
principles

- a **legal activity** as per law
- Must fall under some **Jurisdiction**
- Between **legal parties** (able to enter contract)
- **Offer and Acceptance** (By Insurer to Insured)
- Have a **consideration** (payment / performance)

1. Insurable interest

- Insurable interest is the **basis** of all insurance policies.
- To pass this check, there needs to be an **object** and an associated **financial hardship**
 - I.e. the insured suffers **financial hardship** if a **defined object occurs**
- To exercise insurable interest, the policyholder must **buy** insurance on the item or entity (the insured interest).
 - Any change in the insurable interest usually requires a new policy.

Company insures its CEO

- Object = Life of CEO
- Financial hardship = cost of rehiring and retraining

Flat-owner insures own flat

- Object = Damage to flat from perils
- Financial hardship = catastrophic loss

Individual buys health insurance

- Object = Health care for self
- Financial hardship = cost of healthcare

2. Indemnity

- Indemnity means to make **whole** i.e. restore condition to what it was prior to loss
- It restricts the Policy-holder to the amount of **covered loss**, i.e. it ensures a policy-holder does not **make a loss or a profit** from a policy
 - In effect, Indemnity ensure a policy-holder is not able to claim more than their loss
- Indemnity **does not strictly apply** to Life or Personal Accident insurance, since they are classified as “contingent” risks

House insured for Rs 50 lacs

- Event: Fire
- Insurance received: Rs 50 lacs
- The fact that the current market price of house was Rs 80 lacs does not matter

Gold insured for Rs2000

- Event: Theft
- Was valued 3 years ago
- Since then gold has appreciated 100% however insurer still pays Rs 2000

Life insured

- Event: Death
- Unable to make **whole**

3. Doctrine of Utmost Good Faith

- Means the **highest degree of honesty and sincerity**
- **Pre-policy**: policy-holder **disclosing** relevant information **prior** to accepting policy
 - Nowadays, specific questionnaires are used to ensure such gaps are minimized
- **Post-policy**: **Fraudulent claims** by policy holders AND **delay tactics** employed by Insurers

Individual buys Life Insurance

- Does not disclose a life-threatening job or profession at time of taking the policy
- Policy can be void

Individual buys health insurance

- Does not disclose diabetes at time of policy since premium would go up
- Policy can be void

Insurer has to pay life insurance

- Delays the process by 6 months citing file was lost or that signing authority was

4. Subrogation

- Insurer can **legally pursue the party** that caused loss to the policy holder. E.g.
 - The insurer pays its client's claim for losses directly, then seeks reimbursement from the other party's insurance company.
 - By law, the Insurer can **also sue** the party in order to recover due money
- It also restricts the insurer from making a profit on the claim

Auto insurance

- Insurer pays the car owner for damage to car
- Insurer claims this amount from the insurer who's policy owner caused the damage

Health insurance

- If a policy-holder is injured in a car accident, the Insurer can recover the claim from the party at fault

Special case

- Occasionally a policy can have Subrogation waived by the Policy-holder
- In such case, the Insurer will raise the premium as they cannot subrogate

Additional contract terms and sections

Terms (important)

- **Aleatory**: Financial participation is unequal
- **Adhesion**: Insurer made it, so must abide by terms
- **Unilateral**: one-directional from Insurer to holder
- **Conditional**: Conditions to be followed for claims

Sections

- **Duty of disclosure**: Reminds holder of obligations
- **Declarations**: Statements made by policy-holder
- **Insuring agreement**: What is being insured
- **Conditions**: Rules to be followed to claim
- **Exclusions**: Things not covered by policy

Underinsurance / Co-insurance

Underinsurance (= problem)

- Arises when insured value is **lower than actual value**
 - E.g. home valued at 100,000 by insurer but insured for a value of 70,000 by homeowner
- Becomes a problem when all policy-holders do the same thing
 - Since the insurer then receives insufficient premiums to maintain viability of the pool

Coinsurance (= solution), applied in case of Underinsurance

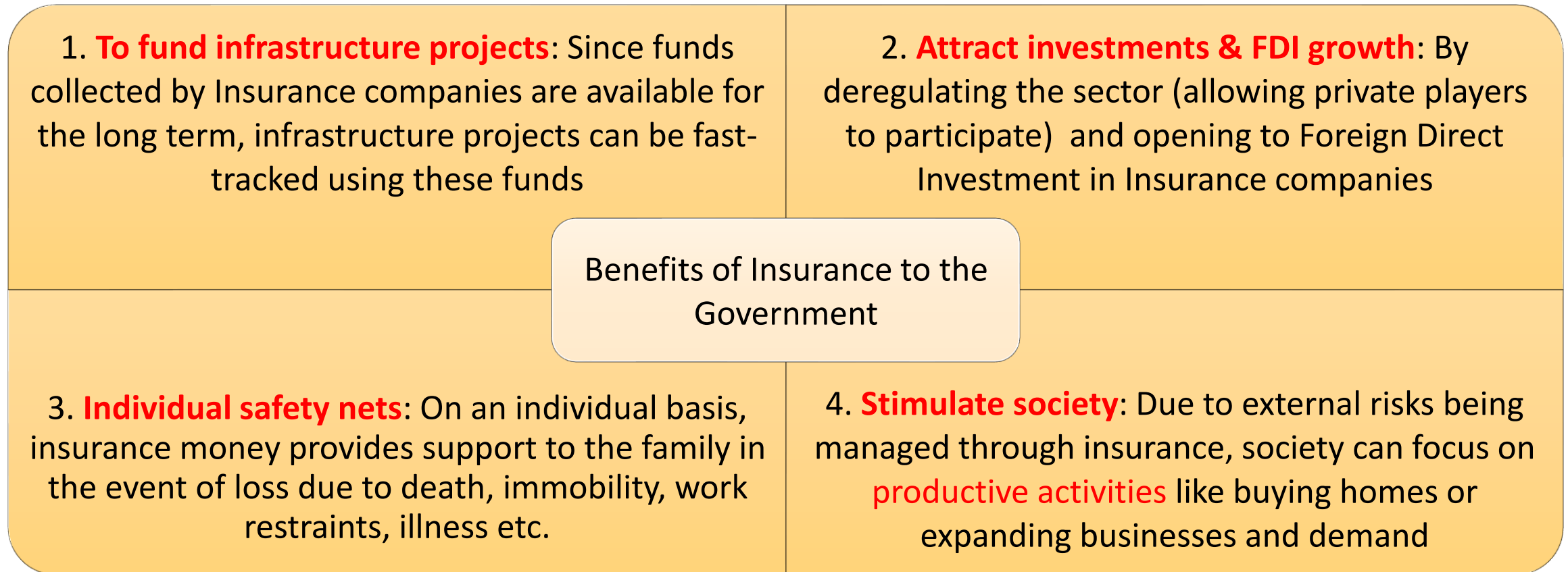
- Clause that states that **only complete destruction** will result in payment of **sum insured**
- In all other cases, coinsurance (or average) formula will apply for **partial damage**
 - **$\frac{\text{Actual Amount of Insurance}}{\text{Required Amount}} * \text{Amount of Loss} = \text{Amount of Claim}$**
 = 70000/100000 or 70% of loss amount will be paid under Coinsurance clause



Insurance in India

Governments support Insurance as a sector

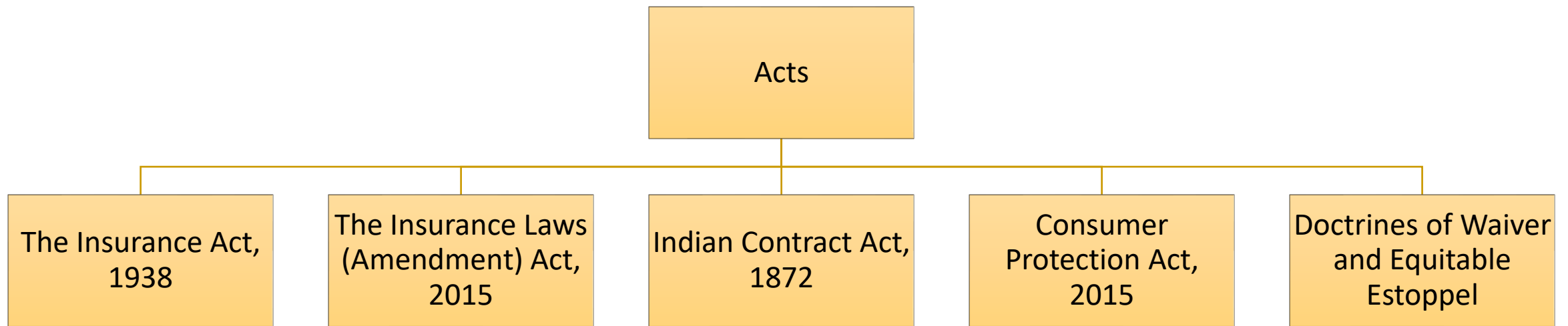
- A well-built insurance sector **provides the Government with a safety net** from loss-causing events and enhances its risk-taking ability



Indian laws relating to Insurance

Laws help

- Protect the customer
- Regulate the insurance companies



The Insurance Act, 1938

The Insurance Act, 1938 was the **primary legislation governing all types of insurance** to furnish strict state jurisdiction over insurance business (Amended in 2002 applicable to whole of India).

Part I of this Act lays down the **definitions such as 'the insurance company', 'insurer', 'insurance agent', 'actuary', 'intermediaries'** and others related to all aspects of the Insurance industry.

Part II is the main section of this Act which deals with the **provisions applicable to the insurers.**

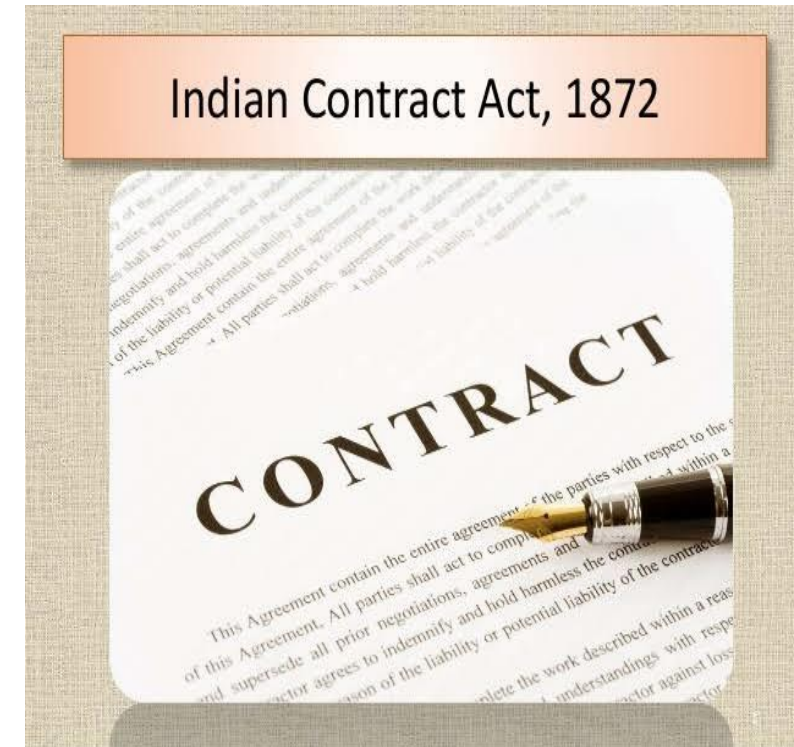
Part V of this Act lays down the **penalty for default in complying** with this Act. It **also gives power to the Authority (IRDA)** to make regulations.

The Insurance Laws (Amendments) Act, 2015

- This Act **amended three previous Acts** related to the insurance sector in India:
 - The Insurance Act, 1938.
 - The General Insurance Business (Nationalization) Act, 1972.
 - The Insurance Regulatory and Development Authority Act, 1999.
- **Under the new Act:**
 - Provisions related to investments by insurance companies and prohibition for investment of funds outside India have been strengthened.
 - The power of investigation and inspection by the Authority has been further increased.
 - Provisions related to assignment and transfer of insurance policies, nomination of policy holder, prohibition of payment by way of commission have all been strengthened.
 - Revised limitation of management expenses in insurance business have been set.
 - New provisions have been inserted related to the appointment and record of insurance agents.
- As per Section 7A, the **cap on Foreign Direct Investment (FDI) in Indian insurance companies has been raised to 49%** providing additional capital flow in the insurance sector.
- To set up an efficient grievance redressal system, the **Securities Appellate Tribunal (SAT) has been made the appellate authority to IRDAI's order.**

Indian Contract Act, 1872

- Section 182 of the Act defines an “agent” as a person employed to do any act for another, or to represent another in dealings with third persons, known as the “principal”.
- It is important for a financial advisor to understand the laws regarding Agency because **nearly all business transactions worldwide are meted out through this relationship between the Agent and the Principal.**
- An Agency is created when one person delegates his authority to some different person, or appoints him to do some specific tasks in their specified areas of work.
- It also deals with appointment and authority of agents/sub-agents, Agent’s duty to Principal and Principal’s duty to Agent amongst other important subject matters.



Consumer Protection Act, 2019

- The Consumer Protection Act, 2019 is enacted to protect the **interests of the consumers** in India. It makes provision for the establishment of authorities for timely and effective administration and settlement of consumer's disputes. It applies to all goods and services.
- The 2019 Act repeals the 1986 Act whereby it has substantially enhanced the scope of protection afforded to consumers by bringing within its purview advertising claims, endorsements and product liability.
- While it continues to have Dispute Redressal Commissions at the District, State and National levels, the monetary value of complaints that can be entertained at each of these commissions has been increased substantially.
- The 2019 Act also introduces the power of judicial review, which will allow Consumer Commissions to review their orders.
- The IRDA act along with Consumer Protection Act, 1986 **helps protects the interest of consumers** and give them the right to seek consumer redressal. It would provide consumers rights to prevent consumers from **fraud and unfair practices** while availing insurance services

Doctrines of Waiver & Equitable Estoppel

- The legal doctrines of Waiver and Estoppels are directly related to the **responsibilities of insurance agents**. They are important to individuals because they can work to their advantage when dealing with an insurance company.
- **Waiver** is the conscious and discretionary giving up of a known legal right.
- A waiver can be express or implied.
- **Express waiver** could be oral or written. In either case, it is a clear statement that a right is being given up.
- **Implied waivers** are created through the conduct of the waiving party. E.g., if the insurance company accepts the premium from a policyholder after the expiration of the grace period, the company has impliedly waived its right to claim that the policy had lapsed.
- **Estoppel**: “a legal rule that prevents someone from changing their mind about something they have previously said is true in court”.
- Often described as a rule of fair play.
- From the insurance point of view, an insurer may waive a right, and after the policy holder has relied upon the waiver and acted upon it, the insurer will be stopped from claiming the right.
- **Example**: An individual fails to disclose some information in the insurance proposal form and the insurer does not request that information and issues the insurance policy (a waiver). In future when a claim arises, the insurer cannot question the contract because of non-disclosure. This is estoppel.



Regulatory Infrastructure around Insurance

Structure of Indian Insurance

- two categories – **Life** and **General**
- both governed by **the Insurance Regulatory and Development Authority of India (IRDAI)**
 - IRDAI established via Insurance Regulatory and Development Authority (IRDAI) Act, 1999.
 - Indian postal department provides life insurance through Postal Life Insurance
 - This is exempt from the purview of IRDAI
- As of 2019, **70 insurance companies** active
 - 24 are life insurance (including LIC)
 - 27 more are general insurance
 - 7 are stand-alone health
 - 12 are re-insurers



1. About IRDAI

- The **Insurance Act, 1938** provides the powers to IRDAI
- IRDAI is an **autonomous and statutory body** incorporated in 2000 following recommendations of the Malhotra Committee.
 - It has a 10-member board, appointed by the government (Chairman, 5 full-time directors, 4 part-time directors)
- Its Mission as stated in the preamble to the IRDAI Act, 1999, is *“to protect the interests of holders of insurance policies, to regulate, promote and ensure orderly growth of the Insurance industry”*
- Its goals are



1. Encourage **systematic growth** of the industry.

2. **Protect** the interest of the **policyholders**.

3. **Promote** high standards of **integrity** in the market

4. **Speed up** claim **settlement**.

5. Set **standards** and conduct **vigilance**.

IRDAI duties, powers, functions

➤ Section 14 of the IRDAI Act includes some of the following

Registering and regulating insurance companies

Protecting policyholders' interests

Licensing and establishing norms for **intermediaries**

Promoting **professional organizations** in insurance

Regulating and supervision of **premium rates** and **terms** of general insurance covers

Specifying **financial reporting** norms of insurance companies

Regulating **investment of policyholders' funds** by insurance companies

Ensuring the protection of **solvency margin** by insurers

Safeguarding insurance **coverage** in rural and weaker areas of society

IRDAI Duties, Power & Functions

1. Licensing & Governance of Insurance companies and Intermediaries

- Rules were evolved over time by IRDAI as follows
 - 2009 -outlined **comprehensive guidelines on Corporate Governance** practices of insurance functions.
 - 2013- Companies Act changed, used to **review the 2009 guidelines**
 - 2016- recast as **Corporate Governance Guidelines for Insurers in India - 2016,**
- Key aspects of these rules are as follows

Governance structure	Board of Directors	Key management functions	Role of appointed actuaries
External auditor appointment	Disclosures	Relationships with stakeholders	Whistle-blower policy

IRDAI Duties, Power & Functions

2. Apex Insurance Regulator and Industry Watch-Dog

➤ IRDAI as the Apex body overseeing all insurance in India sets the following rules

Every insurance company needs to be **registered** under IRDAI

IRDAI sets all the **rules** for the industry

IRDAI served as **Watch Dog** for insurance / reinsurance

It must **protect interest** of policy holders

Oversee **economic growth** of the sector

All companies and associates (agents, TPA's, brokers etc) **must follow IRDAI rules** and reporting guidelines

IRDAI Duties, Power & Functions

3. Supervision of Tariff Advisory Committee (TAC)

- TAC is a statutory body established by the Insurance (Amendment) Act, 1968, and mandated to **“control and regulate the rates, advantages, terms and conditions that may be offered by insurers in respect of general insurance business”**
- It is a **complementary body to IRDAI** and its composition (basis various acts) is currently as follows
 - IRDAI chairman is TAC chairman
 - A senior officer of IRDAI is the TAC vice-chairman
 - It has 10 elected members from the Indian insurance market
- **TAC’s decisions are final and binding to all non-life insurers as well as the insured** in India and is tasked with following duties and functions as per Section 14(2) of IRDAI Act

Inspection of
Risks

Drawing up and
Updating Tariffs

Publishing Tariffs
and Other
Regulations

Ensuring
Implementation
of the Tariffs

Collection of
Data and
Analysis

Clarifying
Queries of
Insurers

IRDAI Duties, Power & Functions

4. Power to Issue Guidelines and Directions

- Power to delegate to the Chairperson, or any other member, any of its powers and functions
- Also form committees of the members and delegate to them the powers and functions of the Authority by a general or special order
- Also establish a Committee, to be known as the **Insurance Advisory Committee (IAC)**
- In consultation with the IAC, make regulations consistent with the Act and the rules made thereunder to bring out the purposes of the Act.
- However, such changes **must be laid before House of parliament while in session**

2. Insurance Councils / General Insurance Council

- Were constituted in 2001 under Section 64C of the Insurance Act 1928
- **A forum of all stakeholders** (government, statutory bodies etc) that works as an active link between the Indian insurance industry and the global markets.

Life Insurance Council: Assists the life insurers in maintaining high standards of service to policyholders. Also aims to transform the life insurance industry into a profitable service along with the welfare of policyholders.

General Insurance Council: Promotes better understanding of non-life insurance industry. Aims to strengthen the non-life insurance industries. The council develops codes of conduct for the members companies, compliance programs to observe rules and regulations etc.

3. Insurance Information Bureau of India (IIB)

- Insurance is data driven. Hence in 2009, IRDAI constituted IIB to support it as an advisory body and in 2012 IIB was registered as an independent society.
- IIB has dedicated IT/ data support verticals for Life, Health, Motor, Property, Fire, etc.
- It also provides services for third party motor insurance data (V-Seva package) and handles the Central Index Server that acts as a nodal point between insurance repositories and helps de-duplicate demat accounts.
- The main functional areas of IIB includes:

Sole point for
insurance industry
data

Provide
benchmark rates
for the industry

Publish reports to
help IRDAI and
insurers

Publish reports for
the advantage of
the entire industry

Provide inputs for
policy analysis

Detect any fraud,
insurance gaps etc

Ensure data is accessible
to market players

4. Insurance Ombudsman

1. Establishment & Objective

- Created by a Government of India Notification in 1998.
- Aim to ensure impartial and speedy grievance handling,
- Any person who has a grievance against an insurer can make a complaint in writing to the Ombudsman

3. Rights and Power

- Empowered to act as counselor and mediator for complaints on all aspects of insurances including:
 - repudiation of claims by the insurer
 - delay in settlement of claims
 - dispute regarding premium paid or payable
 - dispute on the legal construction of the policies
 - non-issuance of insurance documents to policyholders after receipt of premium

2. Appointment, Tenure and Jurisdiction

Eligibility: drawn from Insurance Industry, Civil Services, Administrative Services and Judicial Services.

Tenure: term of three years or till the age of seventy, whichever is earlier, and is eligible for re-appointment.

Jurisdiction: The Executive Council of Insurers has appointed seventeen (17) Ombudsman across the country allotting them different geographical areas.

5. Insurance Institute of India

1. Introduction

- The Insurance Institute of India (III), earlier known as Federation of Insurance Institutes, was formed in 1955 in Mumbai, as an apex education and training provider
- The institute awards Certificates and Diplomas to successful candidates.
- These are recognized by the Indian Government, the IRDAI and various insurance companies in India and abroad.

2. Education & Training

- The IRDAI has recognized the Institute as the examining body to conduct pre-recruitment examinations for Insurance Agents, Corporate Agents, Web Aggregators, Insurance Marketing Firm and Renewal of Insurance Broker exams, pre-licensing test for Insurance Surveyors and Loss Assessors and as the exam conducting body for Postal Life Insurance Agents.

3. Authority and functions

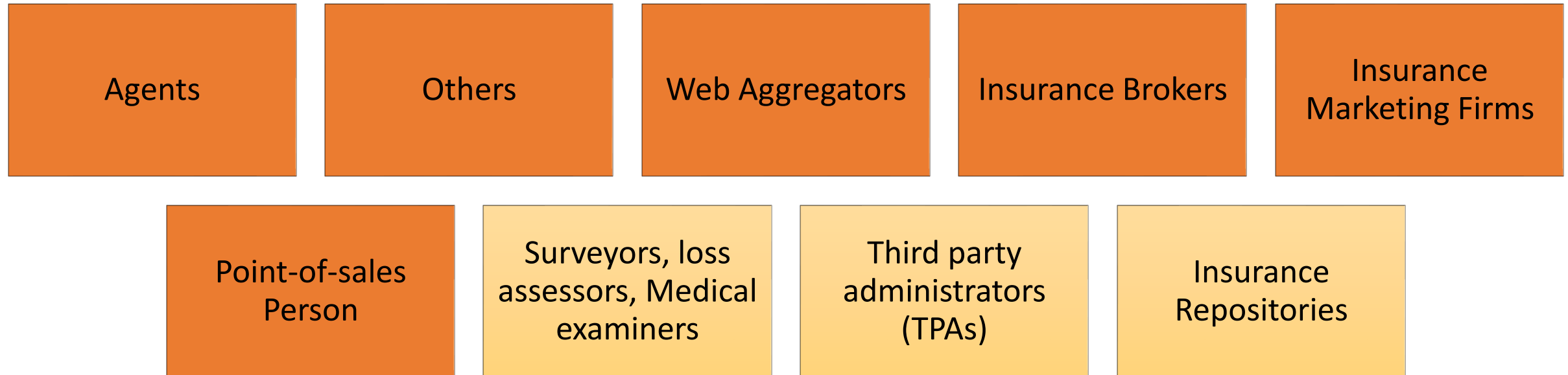
- To run college and conduct examinations within the insurance field and award certificates, diplomas and degrees
- To prepare and provide reading materials and similar alternative education methods
- To form and maintain a library.
- To provide scholarships, grants and prizes for research or any other educational work pertaining to insurance.
- To ascertain the law and practice and to disseminate such knowledge among those interested in insurance.
- Assist people in the insurance industry to acquire necessary skills and expertise.



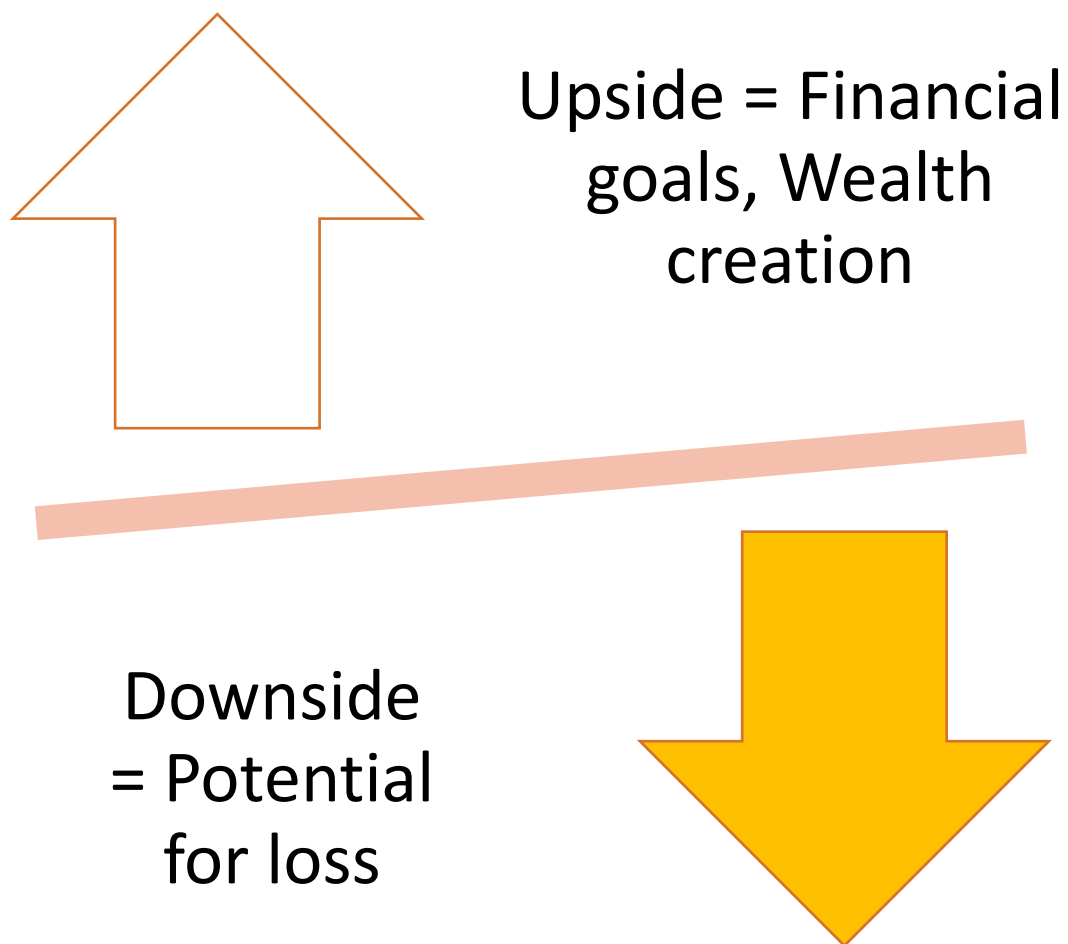
Insurance Intermediation in India

Different parties involved in Insurance

- Insurance involves multiple parties. There are various additional parties involved in Insurance
- The first 6 are directly involved with sale of policies. The remaining 3 provide support to the sector



Risk Management is a **core foundation**



Protect client from **risks**

Cash Flow & assets	Health & Life	Legal
• Loss of income, assets	• What if / unforeseen event(s)	• Client exposure to litigation